

Mindteck Middle East Limited WLL

Audited Financial Statements
for the year ended 31 March 2022

Contents	Page
General information	2
Board of directors' report	3
Independent auditor's report	4 - 6
Statement of financial position	7
Statement of profit or loss and other comprehensive income	8
Statement of changes in equity	9
Statement of cash flows	10
Notes to the financial statements	11 - 23

Commercial registration number	49063
Parent Company	Mindteck India Limited
Board of directors	Paradeep Kizhakkethil Shankattu Shivarama Adiga
Registered address	P.O. Box 10795 Office 44, Building 81 Road 1702, Block 317 Diplomatic area, Manama Kingdom of Bahrain
Bank	Citibank, Bahrain
Auditor	RSM Bahrain P.O. Box 11816, Manama Kingdom of Bahrain

Board of directors' report for the year ended 31 March 2022

The Board of Directors presents its report and financial statements of Mindteck Middle East Limited WLL (the 'Company') for the year ended 31 March 2022.

Board of directors

The members of the Board of Directors are as follows:

	Designation
Pradeep Kizhakkethil	Director
Shankattu Shivarama Adiga	Director

Principal activities

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer consultancy and computer facilities management activities.

Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements are considered satisfactory.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 23 of the financial statements.

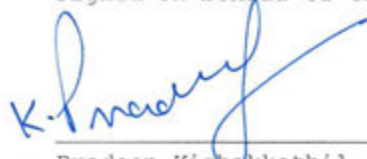
Financial performance

The Company's financial performances for the year is set out on page 8.

Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained cooperation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard

Signed on behalf of the board of directors:



Pradeep Kizhakkethil
Director

RSM Bahrain

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www.rsm.bh**Independent auditor's report**

To the shareholder of Mindteck Middle East Limited WLL

Opinion

We have audited the financial statements of Mindteck Middle East Limited WLL (the "Company"), which comprise the statement of financial position as at 31 March 2022, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2022, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Independent auditor's report

To the shareholder of Mindteck Middle East Limited WLL

(Continued from previous page)

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Independent auditor's report

To the shareholder of Mindteck Middle East Limited WLL

(Continued from previous page)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, we report that:

- a) the Company has maintained proper accounting records and the financial statements are in agreement therewith;
- b) the financial information included in the board of directors' report is consistent with the books of account of the Company; and
- c) nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its deed of association, which would materially affect its activities, or its financial position as at 31 March 2022.



Registration no. 152

11 May 2022

Manama, Kingdom of Bahrain

	Note	2022	2021
Assets			
Non-current assets			
Plant and equipment	5	3,520	919
Right-of-use assets	6	2,948	8,685
		<u>6,468</u>	<u>9,604</u>
Current assets			
Contract assets	7	43,702	43,680
Trade and other receivables	8	106,352	118,408
Advances, deposits, and prepayments	9	13,050	8,477
Bank balances		10,594	17,416
		<u>173,698</u>	<u>187,981</u>
Total assets		<u>180,166</u>	<u>197,585</u>
Equity and liabilities			
Equity			
Share capital	10	50,000	50,000
Statutory reserve	11	25,000	22,794
Retained earnings / (Accumulated losses)		9,115	(34,569)
		<u>84,115</u>	<u>38,225</u>
Non-current liabilities			
Lease liability	12	-	2,995
Employee terminal benefits	13	35,834	28,469
		<u>35,834</u>	<u>31,464</u>
Current liabilities			
Trade and other payables	14	30,385	35,758
Due to related parties	15	5,848	66,290
Lease liability	12	1,481	4,264
Accrued and other liabilities	16	22,503	21,584
		<u>60,217</u>	<u>127,896</u>
Total equity and liabilities		<u>180,166</u>	<u>197,585</u>

These financial statements were approved and signed by the Board of Directors on 11 May 2022.



Pradeep Kizhakkethil
Director



Shankattu Shivarama Adiga
Director

Notes 1 to 26 on pages 11 to 23 form an integral part of these financial statements.

Mindteck Middle East Limited WLL

Statement of profit or loss and other comprehensive income
for the year ended 31 March 2022

(in Bahraini Dinars)

	Note	2022	2021
Income			
Revenue	17	570,906	541,728
Direct costs	18	(455,567)	(441,206)
Gross profit		115,339	100,522
Other income	19	7,314	36,685
		122,653	137,207
Expenses			
General and administrative expenses	20	74,207	75,996
Marketing expenses		2,317	2,304
Finance costs	12	239	279
		76,763	78,579
Profit for the year		45,890	58,628
Other comprehensive income for the year		-	-
Total comprehensive income for the year		45,890	58,628

These financial statements were approved and signed by the Board of Directors on 11 May 2022.



Pradeep Kizhakkethil
Director



Shankattu Shivarama Adiga
Director

Notes 1 to 26 on pages 11 to 23 form an integral part of these financial statements.

	Share capital	Statutory reserve	Retained earnings / (Accumulated losses)	Total
As at 31 March 2020	50,000	16,931	(87,334)	(20,403)
Profit for the year	-	-	58,628	58,628
Transfer to statutory reserve	-	5,863	(5,863)	-
As at 31 March 2021	50,000	22,794	(34,569)	38,225
Profit for the year	-	-	45,890	45,890
Transfer to statutory reserve	-	2,206	(2,206)	-
As at 31 March 2022	50,000	25,000	9,115	84,115

	2022	2021
Cash flows from operating activities:		
Profit for the year	45,890	58,628
Adjustments for:		
Depreciation on plant and equipment	703	414
Depreciation on right-of-use assets	5,737	5,737
Expected credit losses of trade receivables	368	-
Reversal of unused provision	-	(5,970)
Provision for employee benefits	19,283	13,742
Finance cost	239	279
Receivables written off	243	6,585
Changes in operating assets and liabilities		
Contract assets	(22)	(20,137)
Trade and other receivables	11,445	5,652
Advances, deposits, and prepayments	(4,573)	1,636
Trade and other payables	(5,373)	(11,475)
Accrued and other liabilities	(5,541)	7,464
Cash generated from operations	68,399	62,555
Employee benefits paid	(5,458)	(10,084)
Finance costs paid	(239)	(279)
Net cash generated from operating activities	62,702	52,192
Cash flows from investing activities:		
Payments for plant and equipment	(3,304)	(886)
Net cash used in investing activities	(3,304)	(886)
Cash flows from financing activities:		
Repayment of lease liabilities	(5,778)	(5,738)
Repayment of advances	(60,442)	(32,242)
Net cash used in financing activities	(66,220)	(37,980)
Net (decrease) / increase in cash and cash equivalents	(6,822)	13,326
Cash and cash equivalents at the beginning of the year	17,416	4,090
Cash and cash equivalents at the end of year	10,594	17,416

1. Legal status and principal activities

Mindteck Middle East Limited WLL, (the "Company"), is a limited liability company registered with the Ministry of Industry, Commerce and Tourism in the Kingdom of Bahrain under commercial registration number 49063-1, dated 27 July 2002.

The principal activities of the company are computer programming and consultancy and computer facilities management.

The Company is fully owned and controlled by Mindteck India Limited domiciled in India which is the Ultimate Parent of the Company.

2. Basis of preparation

2.1. Statement of compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 March 2022, and the applicable provisions of the Bahrain Commercial Companies Law Decree No (21) of 2001 and its amendments.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in their capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date; and assumes that the transaction will take place either: in the principal market; or in the absence of a principal market, in the most advantageous market. Fair value is measured using the assumptions that market participants would use when pricing the asset or liability, assuming they act in their economic best interests. For non-financial assets, the fair value measurement is based on its highest and best use. Valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, are used, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

When an asset and liability, financial or non-financial, are measured at fair value for recognition or disclosure purposes, are classified into three levels, using a fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1 fair value These measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

- Level 2 fair value These measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value These measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Classifications are reviewed at each reporting date and transfers between levels are determined based on a reassessment of the lowest level of input that is significant to the fair value measurement.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currencies for these financial statements. Amounts are rounded to the nearest dinar, unless otherwise stated.

2.3. New and amended accounting standards and interpretations

The Company has adopted all of the new or amended Accounting Standards and Interpretations issued by the International Accounting Standards Board ('IASB') that are mandatory for the current reporting period.

Any new or amended Accounting Standards or Interpretations that are not yet mandatory have not been early adopted. The company has not yet assessed the impact of these new or amended Accounting Standards and Interpretations.

3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on a straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and fittings	15% – 33%
Motor vehicles	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2. Right-of-use assets

A right-of-use asset is recognised at the commencement date of a lease. The right-of-use asset is measured at cost, which comprises the initial amount of the lease liability, adjusted for, as applicable, any lease payments made at or before the commencement date net of any lease incentives received, any initial direct costs incurred, and, except where included in the cost of inventories, an estimate of costs expected to be incurred for dismantling and removing the underlying asset, and restoring the site or asset.

Right-of-use assets are depreciated on a straight-line basis over the unexpired period of the lease or the estimated useful life of the asset, whichever is the shorter. Where the Company expects to obtain ownership of the leased asset at the end of the lease term, the right-of-use asset is included within property, plant, and equipment, and is depreciated over its estimated useful life. Right-of-use assets are subject to impairment or adjusted for any remeasurement of lease liabilities.

The Company has elected not to recognise a right-of-use asset and corresponding lease liability for short-term leases with terms of 12 months or less and leases of low-value assets. Lease payments on these assets are expensed to profit or loss as incurred.

3.3. Trade and other receivables

Trade receivables are initially recognised at fair value and subsequently measured at amortised cost using the effective interest method, less any allowance for expected credit losses. Trade receivables are generally due for settlement within 30 days. The Company has applied the simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance. To measure the expected credit losses, trade receivables have been grouped based on days overdue. Other receivables are recognised at amortised cost, less any allowance for expected credit losses.

3.4. Contract assets

Contract assets are recognised when the Company has transferred services to the customer but where the Company is yet to establish an unconditional right to consideration. Contract assets are treated as financial assets for impairment purposes.

3.5. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank and in hand. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

3.6. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

3.7. Lease liabilities

A lease liability is recognised at the commencement date of a lease. The lease liability is initially recognised at the present value of the lease payments to be made over the term of the lease, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Lease payments comprise of fixed payments less any lease incentives receivable, variable lease payments that depend on an index or a rate, amounts expected to be paid under residual value guarantees, exercise price of a purchase option when the exercise of the option is reasonably certain to occur, and any anticipated termination penalties. The variable lease payments that do not depend on an index or a rate are expensed in the period in which they are incurred.

Lease liabilities are measured at amortised cost using the effective interest method. The carrying amounts are remeasured if there is a change in the following: future lease payments arising from a change in an index or a rate used; residual guarantee; lease term; certainty of a purchase option and termination penalties. When a lease liability is remeasured, an adjustment is made to the corresponding right-of-use asset, or to profit or loss if the carrying amount of the right-of-use asset is fully written down.

3.8. Employee benefits and entitlements

3.8.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, The Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.8.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.9. Government grants

Grants are recognised when the conditions for receipt are met and there is reasonable assurance that the grant will be received. Grants related to assets are initially taken to deferred income and then released to profit or loss on a systematic and rational basis over the useful lives of the related assets. Grants related to income and grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

3.10. Trade and other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

3.11. Value-Added Tax ('VAT')

Revenues, expenses and assets are recognised net of the amount of associated VAT, unless the VAT incurred is not recoverable from the tax authority. In this case it is recognised as part of the cost of the acquisition of the asset or as part of the expense. Receivables and payables are stated inclusive of the amount of VAT receivable or payable. The net amount of VAT recoverable from, or payable to, the tax authority is included in other receivables or other payables in the statement of financial position. Commitments and contingencies are disclosed net of the amount of VAT recoverable from, or payable to, the tax authority.

3.12. Related party transactions

Related parties comprise the shareholder, directors and such other entities over which the Company or its shareholder can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.13. Revenue recognition

The Company recognises revenue as follows:

3.13.1. Revenue from contracts with customers

Revenue is recognised at an amount that reflects the consideration to which the Company is expected to be entitled in exchange for transferring services to a customer. For each contract with a customer, the Company: identifies the contract with a customer; identifies the performance obligations in the contract; determines the transaction price which takes into account estimates of variable consideration and the time value of money; allocates the transaction price to the separate performance obligations on the basis of the relative stand-alone selling price of each distinct service to be delivered; and recognises revenue when or as each performance obligation is satisfied in a manner that depicts the transfer to the customer of the services promised.

Variable consideration within the transaction price, if any, reflects concessions provided to the customer such as discounts, rebates and refunds, any potential bonuses receivable from the customer and any other contingent events. Such estimates are determined using either the 'expected value' or 'most likely amount' method. The measurement of variable consideration is subject to a constraining principle whereby revenue will only be recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. The measurement constraint continues until the uncertainty associated with the variable consideration is subsequently resolved. Amounts received that are subject to the constraining principle are recognised as a refund liability.

3.13.2. Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered based on either a fixed price or an hourly rate.

3.13.3. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.14. Foreign currency

Foreign currency transactions are translated into International and currency units using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at financial year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

3.15. Finance costs

Finance costs attributable to qualifying assets are capitalised as part of the asset. All other finance costs are expensed in the period in which they are incurred.

3.16. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and The Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

4. Critical accounting judgements, estimates and assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts in the financial statements. Management continually evaluates its judgements and estimates in relation to assets, liabilities, contingent liabilities, revenue and expenses. Management bases its judgements, estimates and assumptions on historical experience and on other various factors, including expectations of future events, management believes to be reasonable under the circumstances. The resulting accounting judgements and estimates will seldom equal the related actual results. The judgements, estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

4.1. Coronavirus (COVID-19) pandemic

Judgement has been exercised in considering the impacts that the Coronavirus (COVID-19) pandemic has had, or may have, on the company based on known information. This consideration extends to the nature of the products and services offered, customers, supply chain, staffing and geographic regions in which the company operates. Other than as addressed in specific notes, there does not currently appear to be either any significant impact upon the financial statements or any significant uncertainties with respect to events or conditions which may impact the company unfavourably as at the reporting date or subsequently as a result of the Coronavirus (COVID-19) pandemic.

4.2. Estimation of useful lives of assets

The Company determines the estimated useful lives and related depreciation and amortisation charges for its plant and equipment and finite life intangible assets. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation and amortisation charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

4.3. Allowance for expected credit losses

The allowance for expected credit losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience, historical collection rates, the impact of the Coronavirus (COVID-19) pandemic and forward-looking information that is available. The allowance for expected credit losses, as disclosed in note 8.1, is calculated based on the information available at the time of preparation. The actual credit losses in future years may be higher or lower.

4.4. Impairment of non-financial assets

The company assesses impairment of non-financial assets at each reporting date by evaluating conditions specific to the company and to the particular asset that may lead to impairment. If an impairment trigger exists, the recoverable amount of the asset is determined. This involves fair value less costs of disposal or value-in-use calculations, which incorporate a number of key estimates and assumptions.

4.5. Lease term

The lease term is a significant component in the measurement of both the right-of-use asset and lease liability. Judgement is exercised in determining whether there is reasonable certainty that an option to extend the lease or purchase the underlying asset will be exercised, or an option to terminate the lease will not be exercised, when ascertaining the periods to be included in the lease term. In determining the lease term, all facts and circumstances that create an economical incentive to exercise an extension option, or not to exercise a termination option, are considered at the lease commencement date. Factors considered may include the importance of the asset to the Company's operations; comparison of terms and conditions to prevailing market rates; incurrance of significant penalties; existence of significant leasehold improvements; and the costs and disruption to replace the asset. The Company reassesses whether it is reasonably certain to exercise an extension option, or not exercise a termination option, if there is a significant event or significant change in circumstances.

4.6. Incremental borrowing rate

Where the interest rate implicit in a lease cannot be readily determined, an incremental borrowing rate is estimated to discount future lease payments to measure the present value of the lease liability at the lease commencement date. Such a rate is based on what the Company estimates it would have to pay a third party to borrow the funds necessary to obtain an asset of a similar value to the right-of-use asset, with similar terms, security and economic environment.

4.7. Provisions

Provisions are recognised when the Company has a present (legal or constructive) obligation as a result of a past event, it is probable the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. If the time value of money is material, provisions are discounted using a current pre-tax rate specific to the liability. The increase in the provision resulting from the passage of time is recognised as a finance cost.

4.8. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

5. Plant and equipment

	<u>Furniture and fittings</u>	<u>Motor vehicles</u>	<u>Total</u>
Cost :			
At 31 March 2021	4787	6,000	10,787
Additions	3,304	-	3,304
At 31 March 2022	<u>8,091</u>	<u>6,000</u>	<u>14,091</u>
Accumulated depreciation :			
At 31 March 2021	3,868	6,000	9,868
Depreciation for the year	703	-	703
At 31 March 2022	<u>4,571</u>	<u>6,000</u>	<u>10,571</u>
Carrying amount :			
At 31 March 2021	919	-	919
At 31 March 2022	<u>3,520</u>	<u>-</u>	<u>3,520</u>

Fully depreciated plant and equipment still in use had a cost of BD 9,477 (2021: BD 9,157).

6. Right-of-use assets

	<u>Office premises</u>
Cost :	
At 31 March 2021	20,159
At 31 March 2022	<u>20,159</u>
Accumulated depreciation :	
At 31 March 2021	11,474
Depreciation for the year	5,737
At 31 March 2022	<u>17,211</u>
Carrying amount :	
At 31 March 2021	8,685
At 31 March 2022	<u>2,948</u>

The Company leases office premises for its offices under lease agreements of two years.

7. Contract assets

Contract assets represent balances that have been unbilled at the year end. These have been subsequently billed and transferred to trade receivables after the year end. The management assesses the credit risk on this balance to be low.

8. Trade and other receivables

	Note	2022	2021
Trade receivables		108,688	120,376
Less: Allowance for expected credit losses	8.1	(2,336)	(1,968)
		<u>106,352</u>	<u>118,408</u>

8.1. Allowance for expected credit losses

	2022	2021
Opening balance	1,968	7,938
Provision / (reversals)	368	(5,970)
	<u>2,336</u>	<u>1,968</u>

The ageing of the receivables and allowance for expected credit losses provided for above are as follows:

	Expected credit loss rate		Carrying amount		Allowance for expected credit losses	
	2022 %	2021 %	2022	2021	2022	2021
Not overdue	0.57%	0.57%	38,775	48,291	219	273
0 to 3 months overdue	0.67%	0.67%	59,610	65,882	398	440
3 to 6 months overdue	3.75%	3.75%	7,711	4,214	289	158
Over 6 months overdue	55.15%	55.15%	2,592	1,989	1,430	1,097
			<u>108,688</u>	<u>120,376</u>	<u>2,336</u>	<u>1,968</u>

9. Advances, deposits, and prepayments

	2022	2021
Advances to employees	8,834	3,582
Prepayments	3,716	4,395
Tender deposits	500	500
	<u>13,050</u>	<u>8,477</u>

10. Share capital

The share capital of the Company is BD 50,000 (2021: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

11. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, an amount of BD 2,206 has been transferred to such reserve out of current year's net profit before appropriations (2021: BD 5,863).

12. Lease liability

	2022	2021
Opening balance	7,259	1,444
Additions	-	11,553
Finance cost	239	279
Lease payments	(6,017)	(6,017)
	<u>1,481</u>	<u>7,259</u>

Lease liabilities are presented in the statement of financial position as follows:

	2022	2021
Non-current portion	-	2,995
Current portion	1,481	4,264
	<u>1,481</u>	<u>7,259</u>

The maturity analysis of lease liabilities is presented in note 23.3.

13. Employee terminal benefits

	2022	2021
Opening balance	28,469	26,424
Payments during the year	(2,284)	(9,435)
Provision for the year	9,649	11,480
	<u>35,834</u>	<u>28,469</u>

14. Trade and other payables

	Note	2022	2021
Trade payables	14.1	15,337	20,462
VAT payable		8,700	5,167
Other payables		6,348	2,490
Salaries payable		-	7,639
		<u>30,385</u>	<u>35,758</u>

14.1 Trade payables include balances payable to related parties as follows:

	Relationship	2022	2021
Mindteck India Limited	Parent company	6,060	10,940
Mindteck Software Malaysia Sdn Bhd	Affiliate	479	482
		<u>6,539</u>	<u>11,422</u>

15. Due to related parties

	Relationship	2022	2021
Mindteck Inc, UK	Affiliate	5,848	5,848
Mindteck Inc, USA	Affiliate	-	60,442
		<u>5,848</u>	<u>66,290</u>

16. Accrued and other liabilities

	2022	2021
Employee benefits	17,163	14,686
Accrued expenses	5,340	6,898
	<u>22,503</u>	<u>21,584</u>

17. Revenue

	2022	2021
Revenue from contracts with customers		
Services transferred over time	570,906	541,728
	<u>570,906</u>	<u>541,728</u>

Disaggregation of revenue

	2022	2021
Geographical regions		
Bahrain	531,486	456,686
GCC	39,420	71,678
Rest of the World	-	13,364
	<u>570,906</u>	<u>541,728</u>

18. Direct costs

	Note	2022	2021
Employee costs	20.1	367,917	369,851
Subcontractor cost		87,650	71,355
		<u>455,567</u>	<u>441,206</u>

19. Other income

	Note	2022	2021
Government grants	19.1	2,824	31,168
Reversal of unutilized provision on trade receivables		-	5,970
Exchange gain / (loss)		129	(453)
Miscellaneous income		4,361	-
		<u>7,314</u>	<u>36,685</u>

19.1 Government grants represents salary support received from the Social Insurance Organisation (SIO) in response to the Covid-19 impact, under the directives of the government, for the full salaries of insured Bahraini employees for the month, of June 2021, and 50% of their salaries for a period of two months, starting July 2021.

20. General and administrative expenses

	Note	2022	2021
Employee costs	20.1	53,879	54,376
Depreciation on right-of-use assets	6	5,737	5,737
Travelling and conveyance		3,616	1,946
Bank charges		2,395	2,250
Communication		1,082	1,005
Professional fee		1,286	1,514
Insurance		1,200	195
Depreciation on plant and equipment	5	703	414
Utilities		480	392
Allowance on expected credit losses	8.1	368	-
Receivables written off		243	6,585
Repair and maintenance		231	10
Miscellaneous		2,987	1,572
		<u>74,207</u>	<u>75,996</u>

20.1. Employee costs

	<u>2022</u>	<u>2021</u>
Salary and allowances	354,445	354,324
Social and medical insurance	31,528	33,588
Employee benefits	15,561	13,742
Incentives	10,252	16,110
Visa and immigration fee	9,785	6,344
Employee welfare	225	119
	<u>421,796</u>	<u>424,227</u>

The employee costs have been allocated in the statement of profit or loss and other comprehensive income as follows:

	Note	<u>2022</u>	<u>2021</u>
Direct costs	18	367,917	369,851
General and administrative expenses	20	53,879	54,376
		<u>421,796</u>	<u>424,227</u>

21. Related party transactions**21.1. Parent and ultimate controlling party**

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

21.2. Transactions with parent company

	<u>2022</u>	<u>2021</u>
Subcontracted IT services	88,871	47,508

21.3. Other related parties

	<u>2022</u>	<u>2021</u>
Subcontracted IT services	16,211	-
Repayment of advances	60,442	10,000

The above transactions were made on the same terms as equivalent transactions with unrelated parties.

22. Contingencies and commitments**22.1. Contingencies**

The Company issued undated cheques to Medgulf Takaful of BD 1,000 to obtain performance bonds in the ordinary course of business.

22.2. Commitments

There were no material commitments known as at the date of the statement of financial position.

23. Financial instruments

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits, contract assets and trade and other receivables. Financial liabilities include trade and other payables, lease liability and due to related parties. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

23.1. Credit risk

Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. All financial assets are subject to credit risk. The maximum exposure to credit risk at the reporting date to recognised financial assets is the carrying amount, net of any provisions for impairment of those assets, as disclosed in the statement of financial position and notes to the financial statements. The carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2022	2021
Bank balance	10,594	17,416
Tender deposits	500	500
Contract assets	43,702	43,680
Trade and other receivables	106,352	118,408
	<u>161,148</u>	<u>180,004</u>

The Company has adopted a lifetime expected loss allowance in estimating expected credit losses to trade receivables through the use of a provisions matrix using fixed rates of credit loss provisioning. These provisions are considered representative across all customers of the Company based on recent sales experience, historical collection rates and forward-looking information that is available.

23.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Company mainly deals in Bahraini Dinar and other GCC currencies that are pegged to United States Dollar, hence not exposed to foreign exchange risk.

23.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 December is as follows:

2022

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	10,594	10,594	-	-
Tender deposits	500	500	-	-
Contract assets	43,702	43,702	-	-
Trade and other receivables	106,352	106,352	-	-
	<u>161,148</u>	<u>161,148</u>	<u>-</u>	<u>-</u>

Liabilities

Lease liability	1,481	1,481	-	-
Due to related parties	5,848	5,848	-	-
Trade and other payables	30,385	30,385	-	-
	<u>37,714</u>	<u>37,714</u>	<u>-</u>	<u>-</u>

2021

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	17,416	17,416	-	-
Tender deposits	500	500	-	-
Contract assets	43,680	43,680	-	-
Trade and other receivables	118,408	118,408	-	-
	<u>180,004</u>	<u>180,004</u>	<u>-</u>	<u>-</u>

Liabilities

Lease liability	7,259	1,463	2,801	2,995
Due to related parties	66,290	66,290	-	-
Trade and other payables	35,758	35,758	-	-
	<u>109,307</u>	<u>103,511</u>	<u>2,801</u>	<u>2,995</u>

24. Fair value measurement

The carrying amounts of trade and other receivables and trade and other payables are assumed to approximate their fair values due to their short-term nature. The fair value of financial liabilities is estimated by discounting the remaining contractual maturities at the current market interest rate that is available for similar financial liabilities.

25. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.

26. Events after the reporting period

No matter or circumstance has arisen since 31 March 2022 that has significantly affected, or may significantly affect the Company's operations, the results of those operations, or the Company's state of affairs in future financial years.